

**INTEGRUM ENERGY INFRASTRUCTURE LIMITED****CIN: U40106KA2021PLC144691****Reg Office: No. 736, 2nd Floor, Third Block Koramangala, Bangalore - 560034.****Web: integrumenergy.in**

| Date       | Version / amendments |
|------------|----------------------|
| 26.09.2024 | Original Adopted     |

**RELATED PARTY TRANSACTION POLICY****1. Preamble:**

The Board of Directors (the “**Board**”) of Integrum Energy Infrastructure Limited (the “**Company**”) has adopted the following policy and procedures with regard to the Related Party Transactions as defined below. The Audit Committee shall review and may propose amendments to this policy as may be required.

The policy will be applicable to the Company. This policy is to regulate transactions between the Company and its related parties based on the laws and regulations applicable on the company.

**2. Objective:**

This policy is framed as per the requirement of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“**Listing Regulations**”) and intended to ensure the proper approval and reporting of transaction between the Company and its Related Parties as determined under Listing Regulations 2015, Companies Act, 2013 and rules prescribed thereunder (“**Act**”), and any other laws and regulations as may be applicable to the Company.

The Company is required to disclose in its Annual Financial Statements and Directors Report, certain transactions between the Company and Related Parties as well as policy relating thereto. The Related Party Transaction Policy shall be disclosed on the website of the Company and a web link thereto shall be provided in the Annual Report.

**3. Definitions:**

“**Arm’s Length Transaction**” as defined under Section 188(1)(b) of the Companies Act, 2013, means a transaction between two related parties that is conducted as if they were unrelated, so that there is no question of conflict of interest.

“**Associate**” means a Company as defined under section 2(6) of the Companies Act, 2013 and as defined by Accounting Standard (AS) 23, “Accounting for Investments in associate’s in consolidated financial Statements” and by Accounting Standard (AS) 18, “Related party disclosures”.

“**Audit Committee or Committee**” means the Committee of the Board formed under section 177 of the Act and Regulations 18 of Listing Regulations.

“**Board**” means Board of Directors of the Company.

“**Control**” means control as defined in Section 2 (27) of the Act and shall have the same meaning as

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defined in SEBI (Substantial Acquisition of Shares and Takeovers) Regulations, 2011.

**“Key Managerial Personnel”** shall mean the officers of the Company as defined in Section 2(51) of the Act.

**“Policy”** means Related Party Transaction Policy.

**“Material Related Party Transaction”** means a transaction with a related party where the transaction/transactions to be entered into individually or taken together with previous transactions during a financial year, exceeding the thresholds specified in Schedule XII of SEBI LODR..

**“Related Party”** as defined under Listing Regulations 2015 is as under –

An entity shall be considered as related to the Company if:

- (i) Such entity is a related party under section 2 (76) of the Companies Act, 2013 and Regulation 2(1)(zb) of SEBI LODR; or
- (ii) Such entity is a related party under the applicable accounting standards.

**“Relative”:** with reference to any person, means who is related to another, if:-

- (i) They are members of a Hindu Undivided Family;
- (ii) They are Husband or wife or
- (iii) One person is related to the another in the following manner, namely: -
  - a. Father, includes step-father.
  - b. Mother, includes step-mother.
  - c. Son, includes step-son.
  - d. Son's wife.
  - e. Daughter.
  - f. Daughter's husband.
  - g. Brother, includes step-brother.
  - h. Sister, includes step-sister.

### **“Related Party Transactions”**

Related party transaction shall mean any transaction as prescribed under Regulation 2(1)(zc) of SEBI Listing Regulations and Section 188 of the Companies Act, 2013 and Indian Accounting Standard 24, and includes any Material Modifications.

**“Subsidiary”** means a Company as defined under section 2(87) of the Companies Act, 2013 and as defined by Accounting Standard (AS) 23, “Accounting for Investments in Associates in Consolidated Financial Statements” and by Accounting Standard (AS) 18.

**Transactions in “ordinary course of business”** shall mean and include-

- Transactions that are entered in the normal and usual course of business and are identical to the business of the company.
- Transactions that is reasonable in the context of the business of the company.
- Transactions that are part of the standard industry practice.

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### **4. Identification of Related Parties:**

Each director and Key Managerial Personal is responsible for providing notice to the Board or Audit Committee regarding persons and entities to be considered as “related Party” by virtue of his/her being Director/KMP in the entity or holding certain shareholding percentage. Such notice shall be provided to the company at the time of appointment and also at the time of first board meeting in every financial year and whenever there is any change in the disclosures already made. Any subsequent changes should be notified to the Board/Audit Committee promptly. Every Director and KMP shall give advance notice of any potential Related Party Transaction involving himself/herself or a Relative, with all material terms. Management shall place all relevant information before the Audit Committee, including nature/duration/value, material terms/business purpose, indicative price/contracted price and pricing formula, related parties' interest, recommendation of management, and any other relevant fact.

### **5. Identification of Potential Related Party Transactions:**

Each director and Key Managerial Personnel is responsible for providing notice to the Board or Audit Committee of any potential Related Party Transaction involving him or her or his or her Relative, including any additional information about the transaction that the Board/Audit Committee may reasonably request. Board/Audit Committee will determine whether the transaction does, in fact, constitute a Related Party Transaction requiring compliance with this policy.

### **6. Terms of the Policy:**

- 6.1 All Related Party Transactions must be reported to the Audit Committee and referred for approval by the Committee in accordance with this Policy.
- 6.2 All the Related Party Transactions proposed to be entered shall require prior approval of the Audit Committee including the transactions to be entered in the ordinary course of business. The Audit Committee shall accordingly recommend the Related Party Transaction for the approval of Board of Directors/ Shareholders as per the terms of this policy.
- 6.3 All the Related Party Transactions prescribed under Section 188 of Companies Act, 2013 and within the threshold limits prescribed under rule 15 sub rule(3) of Companies (Meetings of Board and its Powers) Second Amendment Rules, 2014, shall along with the Audit Committee Approval shall also require approval of the Board of Directors.
- 6.4 All the Material Related Party Transactions and Related Party Transactions, exceeding the threshold limits prescribed under rule 15 sub rule(3) of Companies (Meetings of Board and its Powers) Second Amendment Rules, 2015 shall require prior approval of the Audit Committee, Board of Directors and Shareholders of the Company by way of Resolution.
- 6.5 However, Related Party Transactions which are either not at arm's length or not undertaken in the ordinary course of business shall require the prior approval of the Audit Committee, Board of Directors and the Shareholders by way of resolution in order to allow the Company to enter into arrangements/transactions/contracts with related party of the Company as per the prescribed provisions of Companies Act, 2013 along with the rules made thereunder and the Listing Agreement.

### **7. Review and Approval of Related Party Transactions:**

All related party transactions must be reported to the Audit Committee for its prior approval in accordance with this policy. The Committee shall review the transaction and report the same for approval of the Board and shareholders, if required, in accordance with this policy.

### **Approval of Audit Committee**

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- 7.1 All Related Party Transactions and subsequent Material Modifications shall require prior approval of the Audit Committee. Only the members of the Audit Committee who are independent directors shall approve Related Party Transactions; Any member of the committee who has potential interest in any related party transaction shall abstain from discussion and voting on the approval of the related party transaction.
- 7.2 A Related Party Transaction above Rupees One Crore to which the Subsidiary of the Company is a party, but the Company is not party, shall require prior approval of the Audit Committee if value of such transaction whether entered into individually or taken together with previous transactions during a financial year
- i. exceeds ten per cent of the annual standalone turnover, as per the last audited financial statements of the Subsidiary or
  - ii. exceeds threshold for material related party transactions of Company as specified in Schedule XII of the SEBI Listing Regulations.

7.3 A Related Party Transaction above Rupees One Crore to which the subsidiary of the Company is a party, but the Company is not a party, and such subsidiary does not have audited financial statements for a period of at least one year, shall require prior approval of the Audit Committee if value of such transaction whether entered into individually or taken together with previous transactions during a financial year exceeds the lower of the following:

- i. ten percent of the aggregate value of paid-up share capital and securities premium account of the subsidiary; or
- ii. exceeds the threshold for material related party transactions of Company as specified in Schedule XII of the SEBI Listing regulations.

Provided that the aggregate value of paid-up share capital and securities premium account of the subsidiary shall be taken as on a date, not older than three months prior to the date of seeking approval of the audit committee.

d) Remuneration and sitting fees paid by the Company to its director, KMP or Senior Management (as defined in the SEBI Listing Regulations), except who is part of promoter or promoter group, shall not require approval of the Audit Committee unless such transaction is a Material Related Party Transaction.

e) The Management shall place before the Audit Committee, all relevant material information of all Related Party Transaction(s), including the terms of the transaction(s), the business purpose of the transaction, the benefits to the Company and to the Related Party. All such disclosures shall be made in accordance with applicable industry standards, as may be amended or modified from time to time.

f) In case the Company becomes aware of any Related Party Transaction(s) that has been entered into without obtaining approval of the Audit Committee, the same can be ratified by the members of Audit Committee who are independent directors, within a period of three months from the date of entering into the Related Party Transaction or in the immediate next meeting of the Audit Committee, whichever is earlier, subject to the applicable provisions of the Act, SEBI Listing Regulations and other applicable laws, including the following conditions:

- i. the value of the ratified transaction(s) with a related party, whether entered into individually or taken together, during a financial year shall not exceed rupees one crore.
- ii. the transaction is not material in terms of the provisions of sub-regulation (1) of this regulation.
- iii. rationale for inability to seek prior approval for the transaction shall be placed before the audit committee at the time of seeking ratification.
- iv. the details of ratification shall be disclosed along with the disclosure of related party transactions in

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terms of the provisions of sub-regulation (9) of SEBI Listing Regulations

v. any conditions as may be specified by Audit Committee

Provided that failure to seek ratification of the audit committee shall render the transaction voidable at the option of the audit committee and if the transaction is with a related party to any director, or is authorised by any other director, the director(s) concerned shall indemnify the listed entity against any loss incurred by it.

7.3 Audit Committee shall have all rights to call for information/documents in order to understand the scope of the proposed related party transactions.

7.4 The Audit Committee may grant omnibus approval for the proposed Related Party Transaction subject to the following conditions:

- a. The Audit Committee shall lay down the criteria for granting omnibus approval in line with the policy on Related Party Transactions of the Company and such approval shall be applicable in respect of transactions which are repetitive in nature;
- b. The Audit Committee shall satisfy itself the need for such omnibus approval and that such approval is in the interest of the Company;
- c. Such omnibus approval shall specify the following:
  - Name(s) of the Related Party;
  - Nature of the transaction;
  - Period of transaction;
  - Maximum amount of transaction that can be entered into;
  - The indicative base price/current contracted price and the formula for variation in the price, if any, and;
  - Such other conditions as the Audit Committee may deem fit.
- d. In such cases where the need for Related Party Transaction cannot be foreseen and details as required above are not available, the Audit Committee may grant omnibus approval for such transactions subject to their value not exceeding Rs. 1 crore per transaction;
- e. The Audit committee shall review, at least on a quarterly basis, the details of Related party transactions entered into by the Company pursuant to each of the omnibus approval given;
- f. Such omnibus approvals shall be valid for a period not exceeding one year and shall require fresh approvals after the expiry of one year.

### **Approval of Board of Directors**

7.5 If the Committee determines that a Related Party Transaction should be brought before the Board, or if the Board in any case elects to review any such matter or it is mandatory under any law for the Board to approve a Related Party Transaction, then the Board shall consider and approve the Related Party Transaction at a meeting and the considerations set forth above shall apply to the Board's review and approval of the matter, with such modification as may be necessary or appropriate under the circumstances.

7.6 All the related party transactions prescribed under Section 188 of the Act, which are not in the ordinary course of business or not at Arm's Length Basis and all material related party transactions shall be brought before the Board and the Board shall consider and approve the related party transaction at a meeting.

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- 7.7 Any member of the Board who is interested or has potential interest (as mentioned under section 184(2) of the Act), in any related party transaction shall not be present at the meeting during discussions on the subject matter of the resolution relating to such related party transaction.
- 7.8 In case the Company becomes aware of any Related Party Transaction(s) that has been entered into without obtaining approval of the Board, it may be ratified within a period of three months from the date of entering into the Related Party Transaction, subject to the applicable provisions of the Companies Act, 2013

### **Approval of Shareholders**

- 7.8 All the Material Related Party Transactions shall require approval of the shareholders through special resolution and No related party shall vote to approve such resolutions. The related parties referred here shall abstain from voting irrespective of whether the entity is a party to the particular transaction or not.
- 7.9 All the Transactions, other than the Material Related Party Transaction, with the related parties which are not in the Ordinary Course of Business and at Arms' Length shall, subject to the limits mentioned in Rules 15(3) of the Companies (Meeting of Board and its Power) Rules, 2014, also require the approval of the shareholders through special resolution and the Related Parties shall abstain from voting on such resolution.

The 'Related Party' referred here has to be construed with reference only to the contract or arrangement for which, the said special resolution is being passed. Thus, the term 'Related Party' in the given context, refers to only such related party as may be a related party in the context of the contract or arrangement for which, the said resolution is being passed.

- 7.10 However, In case of wholly owned subsidiary, the resolution passed by the holding company shall be sufficient for the purpose of entering into the transactions between wholly owned subsidiary and holding company.
- 7.11 The Shareholders of the Company may grant Omnibus Approval for Material Related Party Transactions, and it shall be valid till
- i. the date of the next annual general meeting held within the timelines prescribed under Section 96 of the Companies Act, 2013 or rules, notifications, or circulars issued thereunder from time to time, if such approval was granted in the Annual General Meeting.
  - ii. one year from the date of such approval, if such approval was granted in a General Meeting other than Annual General Meeting.

### **8 Criteria for approval of a Related Party Transaction by the Board / Audit Committee:**

- 8.1 To review a Related Party Transaction, the Board / Audit Committee will be provide with all relevant material information of the Related Party Transaction, including the terms of the transaction, the business purpose of the transaction, the benefits to the Company and to the Related Party, and any other relevant matters.

The information provided shall specifically cover the following:

- i. the name of the related party and nature of relationship;
- ii. the nature, duration of the contract and particulars of the contract or arrangement;
- iii. the material terms of the contract or arrangement including the value, if any;

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- iv. any advance paid or received for the contract or arrangement, if any;
- v. the manner of determining the pricing and other commercial terms, both included as part of contract and not considered as part of the contract;
- vi. whether all factors relevant to the contract have been considered, if not, the details of factors not considered with the rationale for not considering those factors;
- vii. the persons/authority approving the transaction; and
- viii. any other information relevant or important for the Committee to take a decision on the proposed transaction.

### **9 Disclosures:**

- 9.1 Every Director of a Company who is in any way, whether directly or indirectly, concerned or interested in a contract or arrangement or proposed contract or arrangement entered into or to be entered into—
- (a) With a body corporate in which such director or such director in association with any other director, holds more than two per cent. shareholding of that body corporate, or is a promoter, manager, Chief Executive Officer of that body corporate; or
  - (b) With a firm or other entity in which, such director is a partner, owner or member, as the case may be, shall disclose the nature of his concern or interest at the meeting of the Board in which the contract or arrangement is discussed and shall not participate in such meeting:

Provided that where any director who is not so concerned or interested at the time of entering into such contract or arrangement, he shall, if he becomes concerned or interested after the contract or arrangement is entered into, disclose his concern or interest forthwith when he becomes concerned or interested or at the first meeting of the Board held after he becomes so concerned or interested.

- 9.2 All Directors/ KMPs are required to disclose the entities in which they or their relatives are or deemed to be interested, in the prescribed form.
- 9.3 Each Director and KMP of the Company shall promptly notify the Company Secretary of the Company of any material transaction or Relationship that could reasonably be expected to give rise to any conflict of interest.
- 9.4 The Company shall maintain Register pertaining to related party transactions in the prescribed form.
- 9.5 The related party transaction entered into with the related party/ies shall be disclosed in the Director Report / Annul Report as per the disclosure requirement of the Act.
- 9.6 The company shall disclose the policy on dealing with Related Party Transactions on its website and a web link thereto shall be provided in the Annual Report.
- 9.7 the Company shall, every six months on the date of publication of its financial results, submit to the stock exchanges disclosures of Related Party Transactions in the format as specified by SEBI from time to time and publish the same on its website.
- 9.8 Details of all material transactions with related parties shall be disclosed, quarterly in the Compliance Report on Corporate Governance., as required under listing agreement.

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### **10 Ratification:**

- 10.1 Any Related Party Transaction entered into without obtaining the prior approval of the Audit/ Board/ Shareholders(respective authority/ies) may be ratified, subject to the applicable provisions of the Companies Act, 2013 and the Listing Regulations 2015, if post review of the said transaction/ contract, the appropriate authority is satisfied, that the said Related Party Transaction is not detrimental to the interest of the Company, however, the appropriate authority may also ratify such transaction or contracts, with or without the modification(s).
- 10.2 Where any contract or arrangement is entered into, without obtaining the consent of the Audit Committee, Board or approval by a Special Resolution in the General Meeting and if it is not ratified by the Board or, as the case may be, by the shareholders at a meeting within three months from the date on which such contractor arrangement was entered into, such contract or arrangement shall be voidable at the option of the Board.
- 10.3 If the appropriate authority decides, not to approve a particular transaction, it may require the Related Party to reimburse the benefits which might have accrued to it and/ or indemnify the Company with regard to the subject Related Party Transaction which is not approved by the appropriate authority.
- 10.4 However the Related Party transaction which are entered into without the approval of the appropriate authority and subsequently not ratified by the appropriate authority, the applicable provisions of the Companies Act, 2013 and Listing Regulations 2015, shall apply.

### **11 Amendments to the Policy:**

- 11.1 The Board of Directors on its own and / or as per the recommendations of Audit Committee can amend this Policy, as and when deemed fit. Any or all provisions of this Policy would be subject to revision /amendment in accordance with the Rules, Regulations, Notifications etc. on the subject as may be issued by relevant statutory authorities, from time to time.
- 11.2 In case of any amendment(s), clarification(s), circular(s) etc. issued by the relevant authorities, not being consistent with the provisions laid down under this Policy, then such amendment(s), clarification(s), circular(s) etc. shall prevail upon the provisions hereunder and this Policy shall stand amended accordingly from the effective date as laid down under such amendment(s), clarification(s), circular(s) etc.

This Policy will be communicated to all operational employees and other concerned persons of the Company and shall be placed on the website of the company.

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